

AI Customer Service and Consumer Outcomes in UK Telecoms and Utilities

Oluwapelumi Alagbe

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Summary

Firms in UK telecoms and utilities are moving customer contact to AI. I ask what that does to consumer outcomes, using three real sources: 2,000 app store reviews for five large telecom and energy brands, each flagged for whether it mentions AI; Ofcom complaints per 100,000 customers for telecoms from 2010 to 2025; and the Citizens Advice energy supplier ratings panel.

Three findings stand out. Reviews that mention AI are rated much lower than other reviews, 1.624 against 2.219 stars, and the gap survives brand and year controls (-0.624 stars, $p < 0.001$). At the same time, aggregate telecoms complaints fell over the period, with fixed broadband complaints dropping from 35 to 7 per 100,000, so this is not a story of collapsing service. In energy, dissatisfaction is coherent, with higher rated suppliers receiving far fewer complaints ($r = -0.613$), though call wait time alone does not predict complaints once supplier differences are accounted for ($p = 0.69$). Together these point to a specific tension: overall service has improved, yet the AI channel itself draws worse ratings, which is what a regulator of essential services would want to watch.

Data

- App store reviews for Vodafone, O2, EE, British Gas and Octopus Energy, collected by the author, with a star rating and a flag for whether the text mentions AI or bots.
- Ofcom Telecoms and Pay TV complaints, complaints per 100,000 customers by provider and service, quarterly from 2010 to 2025.
- Citizens Advice energy supplier ratings, a supplier by quarter panel of overall rating, call wait time, email response rate and complaints per 10,000 customers.

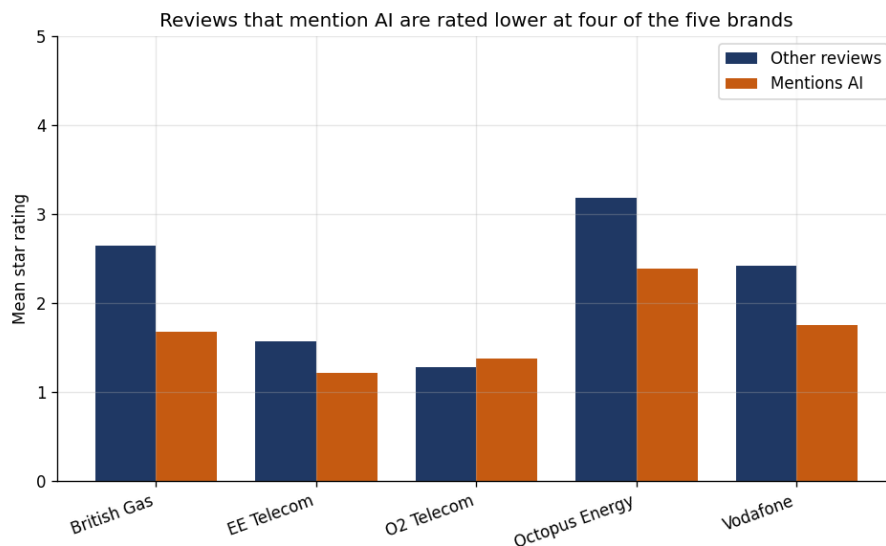


Figure 1: Reviews that mention AI are rated lower at four of the five brands.

Where AI service shows up in reviews

The gap is not a quirk of one brand or one year. In a regression of the star rating on the AI flag with brand and year controls, mentioning AI is associated with -0.624 of a star ($p < 0.001$).

The wider trend in telecoms

Regulated complaint rates fell steadily over the period, so the negative AI signal in reviews sits against a background of improving aggregate service, not a collapse.

Consumer outcomes in energy

Ratings and complaints line up ($r = -0.613$), which says the outcome measures are capturing real dissatisfaction. Call wait time on its own does not predict complaints within suppliers, so how contact is handled, including by AI, plausibly matters beyond simple speed.

Limitations

Reviews are self selected and skew negative, and a review that mentions AI is more likely written by someone who had a bad AI experience, so this measures the experience people choose to report rather than the average interaction. The flag marks whether a review mentions AI, not whether the firm used AI in

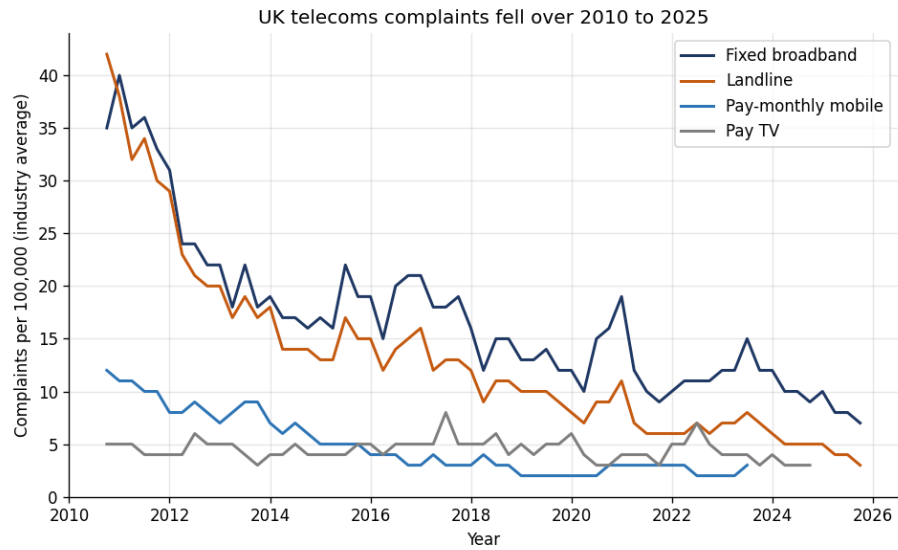


Figure 2: UK telecoms complaints fell over 2010 to 2025.

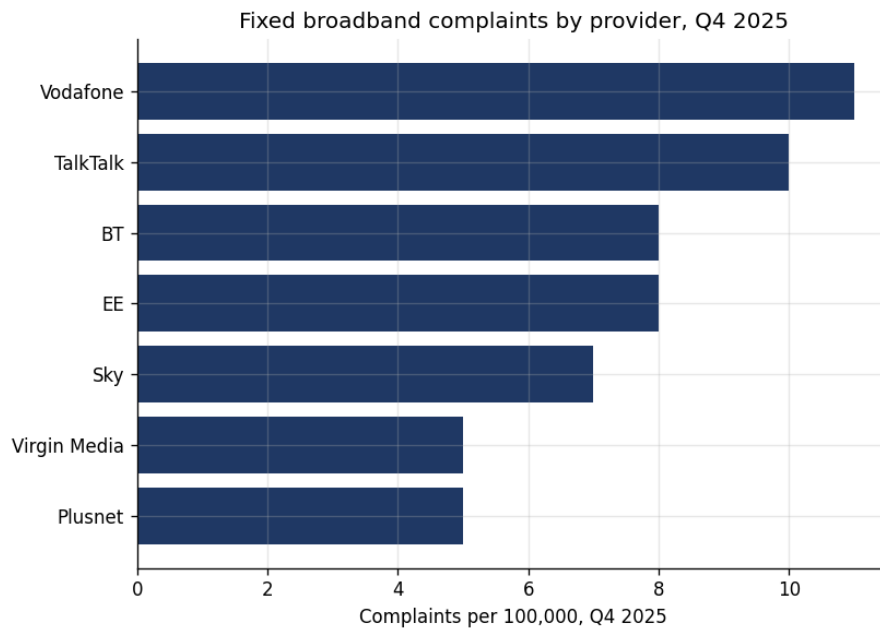


Figure 3: Fixed broadband complaints by provider, Q4 2025.

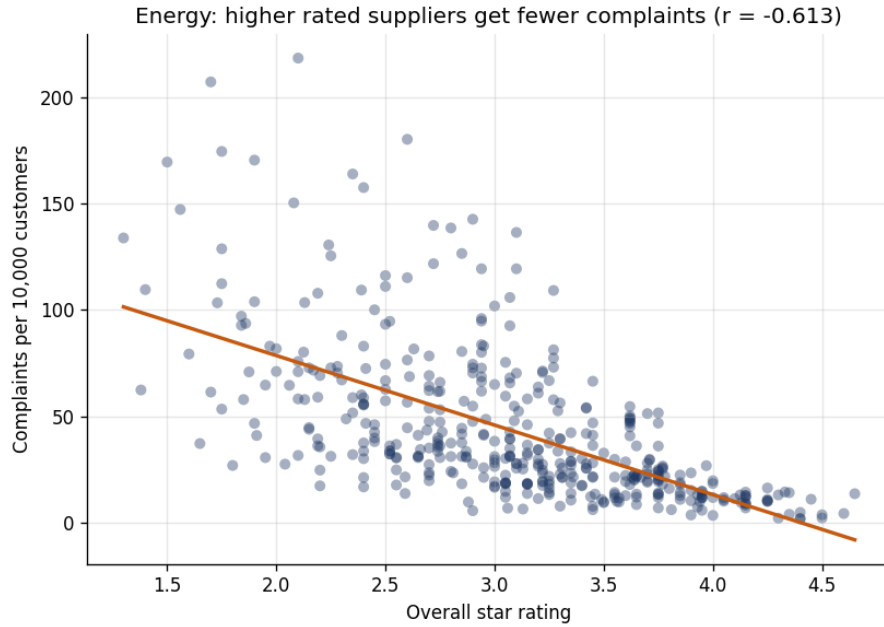


Figure 4: Higher rated energy suppliers receive fewer complaints.

that interaction. I do not observe when each firm deployed AI service, so I cannot attribute the complaint trend to AI. Retention and switching are not directly observed; complaints and ratings are proxies for dissatisfaction. These are associations, not causal effects.

Policy relevance

AI in essential services is a consumer protection question for Ofcom and Ofgem. The measures used here are cheap to compute and could be tracked as an early indicator of whether AI mediated service is helping or harming consumers, before it shows up in complaints or switching.

References

- Ofcom, Telecoms and Pay TV Complaints, quarterly editions.
- Citizens Advice, Energy supplier performance and star ratings.
- App store reviews collected by the author.